- Contributions are deductible on your business tax returns.

Drawbacks

- There are stiff penalties for early withdrawals under the age of 59½.
- You cannot make catchup contributions if you are above the age of 50.

Solo 401(k) or one-participant 401(k)—Self-employed retirement plan. This retirement plan is specific to those who are self-employed but have no full-time employees (with the exception of a spouse). It offers many of the same benefits of a traditional 401(k), but with a solo 401(k), business owners can make contributions both as an employee and as an employer, which allows them to maximize both their retirement contributions and their business deductions. This plan also covers spouses who get an income from the business. A brokerage firm can typically help you set up this account type.

Benefits and Drawbacks of the Solo 401(k)

Benefits

- A solo 401(k) is a great way to contribute for retirement as a self-employed person, as you can contribute more than what is allowable in an IRA.
- You have the choice of selecting a traditional solo 401(k), where you make pre-tax contributions, or a Roth solo 401(k), where you make post-tax contributions.
- You can take loans from your solo 401(k) if needed, although I wouldn't recommend it.
- This account type allows for catchup contributions if you are above the age of 50.

Drawbacks

- You cannot contribute to this plan if you have full-time employees.
- You cannot contribute to this plan if you are already contributing to a 401(k) with an employer, for example, if you have a side hustle